

From Assumptions to Insights

Total Sales

2.30M

Sum of Sales

Total Profit

286.40K

Sum of Profit

Profit Margin

12.47%

Profit Margin

Customers

793

Customers

Orders

5K

Orders

FURNITURE

Assumed:

Furniture was unprofitable,
should discontinue.

Found:

Smarter discounting,
not discontinuation.

CENTRAL REGION

Assumed:

Central underperforms due
to Furniture issues.

Found:

Fix discount strategy,
not the category.

COHORT HEALTH

Assumed:

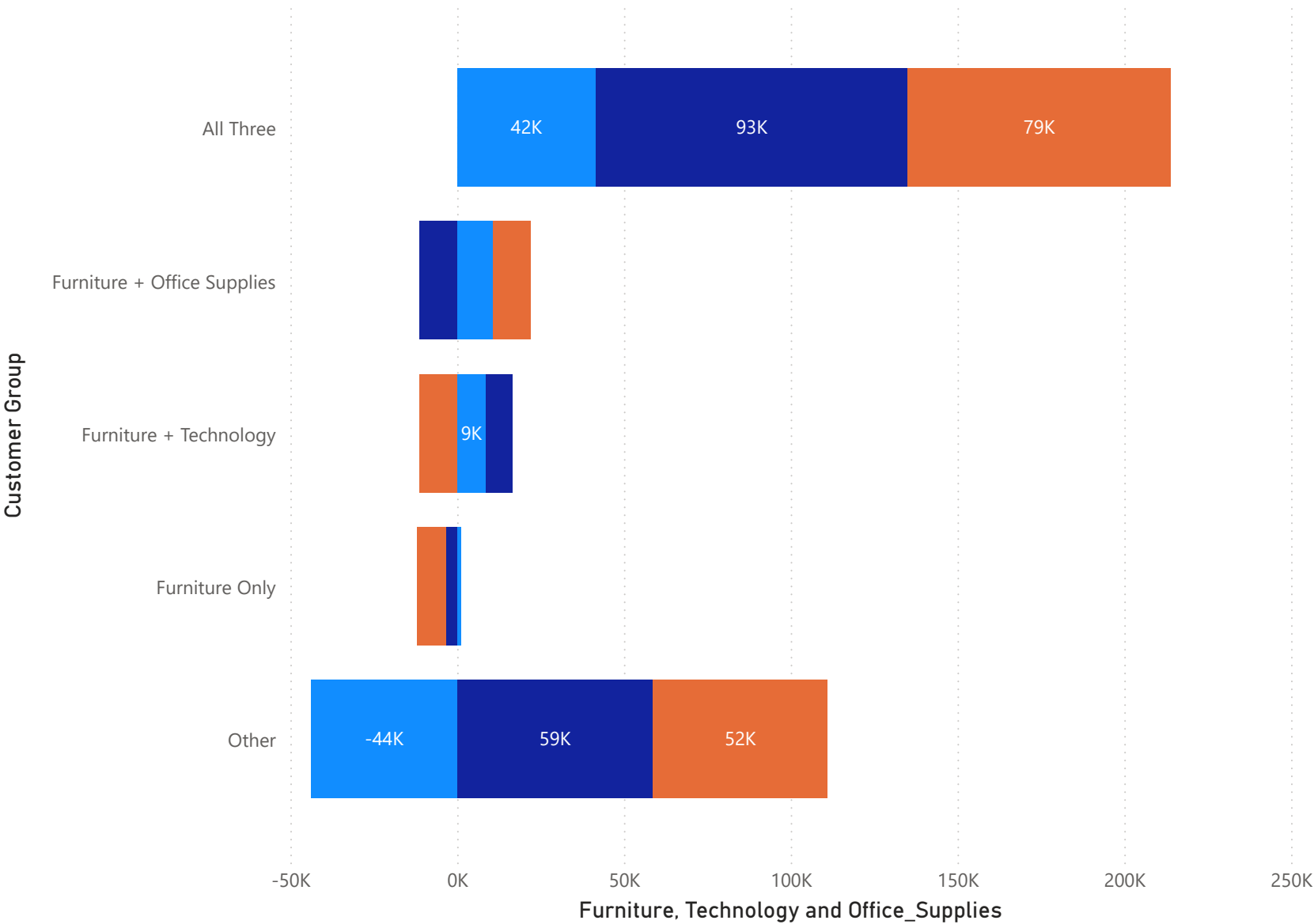
Business is declining.

Found:

Business model is
actually improving.

Customer Group Profitability Composition

Furniture Technology Office_Supplies



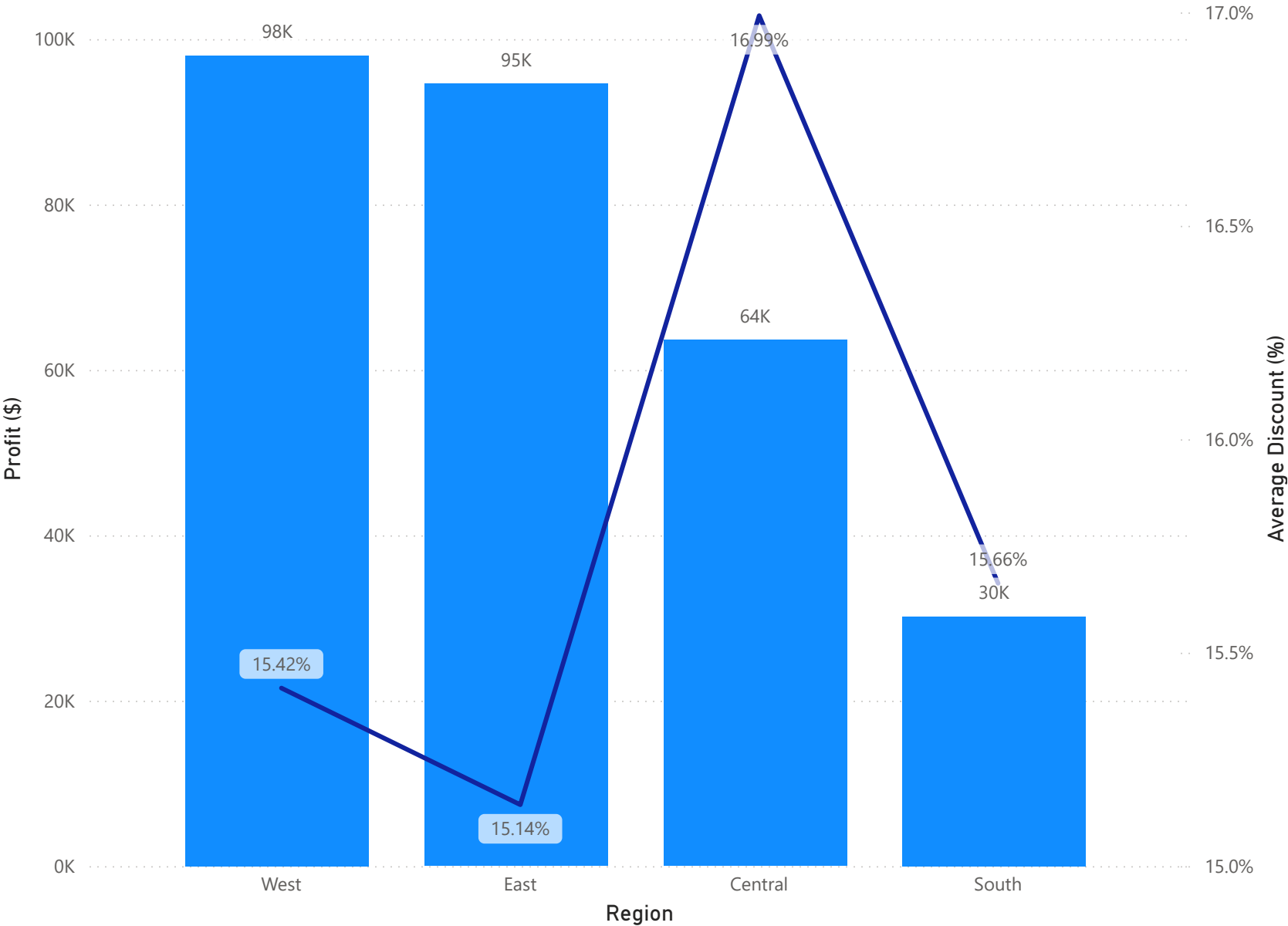
Insight card:
68% of Furniture profit comes from customers purchasing all three categories.

Recommendation:
Keep Furniture products but introduce tiered pricing:

- Full price for Furniture-only purchases
- Bundle discounts when purchased with Technology or Office Supplies

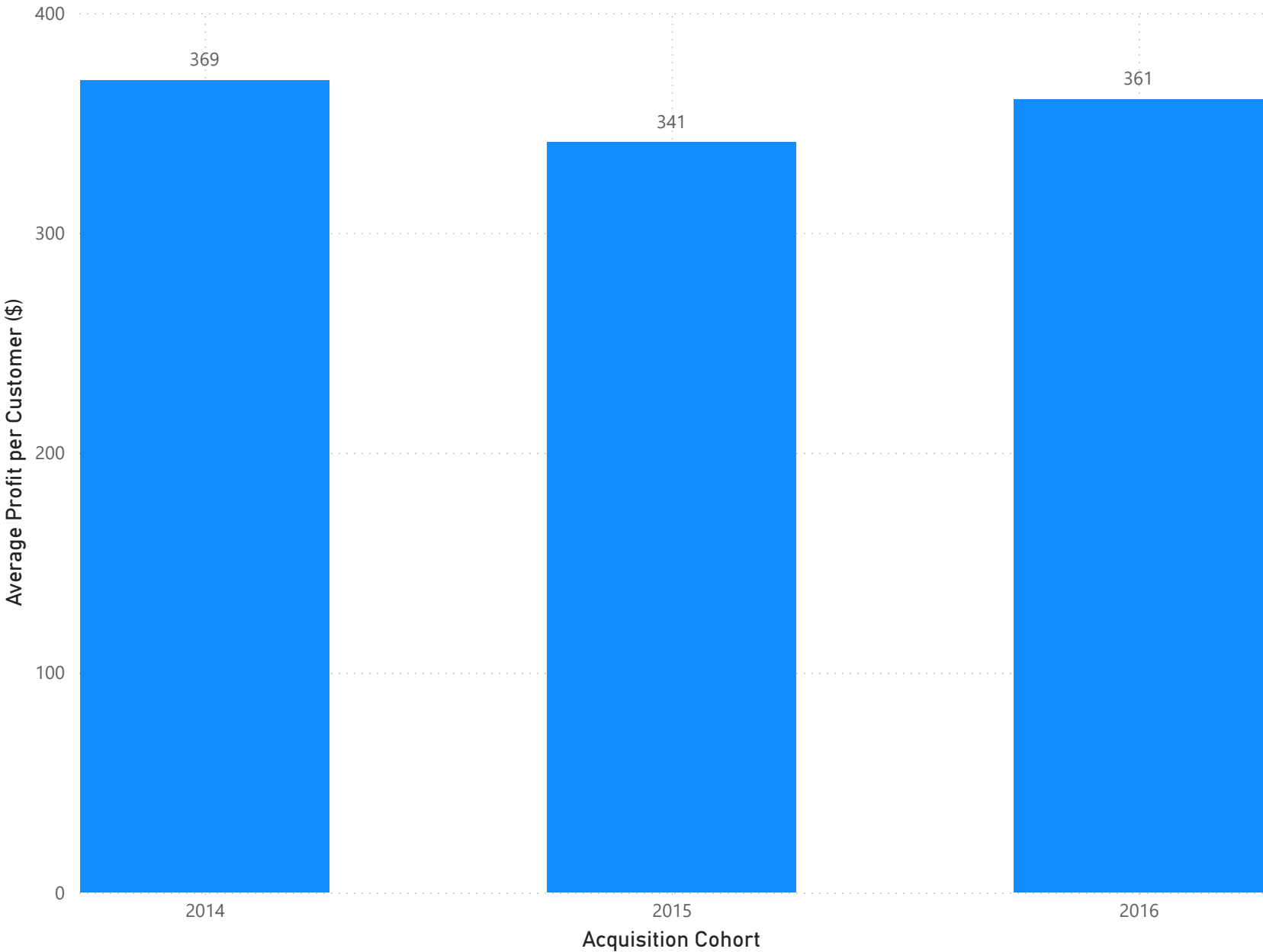
Regional Profitability & Discount Strategy

● Profit ● Avg Discount



Key Insight:
Central's lower profitability is primarily driven by the "Other" customer segment rather than Furniture itself. This segment receives higher average discounts while generating substantially lower profit than comparable regions. A targeted discount reduction could recover approximately \$9.5K in profit.

Customer Profitability by Acquisition Cohort



Interpretation:
Customers acquired in 2016 generated higher average profit than earlier cohorts after controlling for incomplete customer histories. The business shows evidence of improving customer quality rather than long-term decline.